

KLK ELECTRICAL LIMITED

33rd Annual Report
2013-2014

KLK Electrical Limited

CIN: L72300TN1980PLC008230

BOARD OF DIRECTORS

Shri R. Ravi Kumar	Whole time Director
Shri Dattatray Patil	Director
Shri. Rajendra V. Naniwadekar	Director

Auditors

M/s.Chitta & Associates
Chartered Accountants,
Hyderabad

**Registered
Office**

Old No.2, New No.3, 1st Main Road
Seethammal Colony Extension,
Teynampet, Chennai 600018.

Share Transfer Agency

M/s.Cameo Corporate Services Ltd.,
'Subramanian Building'
No.1, Club House Road,
Chennai 600002.

Listing Stock Exchanges

- a) Bombay Stock Exchange Ltd
P.J.Towers, Dalal Street,
Mumbai-400001.
- b) Madras Stock Exchange Ltd.,
Exchange Building,
11, Second Line Beach,
Chennai 600001.

NOTICE

NOTICE is hereby given that the 33rd Annual General Meeting of the members of KLK ELECTRICAL LIMITED will be held on Tuesday the 30th September, 2014 at 11.00 A.M. , at Old No.164 , New No.510, TTK Road, Alwarpet, Chennai 600018 to transact the following business:

ORDINARY BUSINESS:

1. To receive, consider and adopt the Audited Balance Sheet of the Company as at 31st March, 2014 and Profit and Loss Account for the year ended on that date and the Reports of Directors and Auditors thereon.
2. To appoint a Director in place of Shri. Dattatray Patil , who retires by rotation and being eligible offers himself for reappointment.
3. To appoint Auditors to hold office from the conclusion of this meeting until the conclusion of the next Annual General Meeting on a remuneration to be decided by the Board of Directors.

“RESOLVED THAT pursuant to the provisions of section 225 (1) and other applicable provisions, if any, of the Companies Act, 1956 M/s, Anant Rao & Mallik, Chartered Accountants, be and are hereby appointed as the Statutory Auditor of the Company in place of the retiring auditor M/s. Chitta Associates to hold office from the conclusion of this annual general meeting until the conclusion of the next annual general meeting, to Audit the Annual Accounts of the Company for the financial year ending 31.03.2015 on a remuneration to be fixed by the board of directors

SPECIAL BUSINESS:

4. To consider and if thought fit, to pass with or without modification, the following resolution as an Ordinary Resolution.

“RESOLVED THAT Mr. Dattatray Patil to hold office as such up to the conclusion of the ensuing annual general meeting and in respect of whom the company has received a notice in writing from a member signifying his intention to propose the candidature of Mr. Dattatray Patil for the office of director, as required by section 257 of the Companies Act, 1956 be and is hereby appointed a director of the company, liable to retire by rotation.”

“RESOLVED further that the Board of Directors be and is hereby authorized to take all such steps as may be necessary for the purpose of giving effect to this resolution and matters incidental thereto.”

Resolved further that the Board of Directors and the Company Secretary be and are hereby severally authorized to do all such acts, deeds and things and execute all such documents, instruments and writings as may be required and to delegate all or any of its power herein conferred to any committee of directors or director(s).

FURTHER RESOLVED THAT the Board of Directors be and are hereby severally authorized to do all such acts, deeds and things and execute all such documents, instruments and writings as may be required and to delegate all or any of its power herein conferred to any committee of directors or director(s).

Place: CHENNAI
Date: 04-9 -2014

By Order of the Board
For KLK Electrical Ltd.
R. Ravikumar Rao
Wholetime Director

NOTES:

1. A Member entitled to attend and vote at the meeting is entitled to appoint a proxy to attend and vote instead of himself and the proxy need not be a member of the Company. Proxies in order to be effective must be received by the Company not less than forty eight hours before the commencement of the meeting. Form of proxy is enclosed.
2. The Explanatory Statement pursuant to section 173 of the Companies Act, 1956 is given below and forms part of the Notice.
3. Since the Company is yet to declare any dividend, disclosure regarding status of unclaimed dividend under section 205A of the Companies Act, 1956 does not arise.
4. The Register of Members and Share Transfer Books of the Company will remain closed from 27th September, 2014 to 30th September, 2014 (both days inclusive).
5. Shareholders are requested to bring their copy of Annual Report to the meeting.
6. Members/ Proxies should bring the attendance slips filled in for attending the meeting.
7. Members are requested to notify immediately any change in their address (with Pin-Code), if any, quoting their registered folio numbers to the Registrar and Transfer Agent M/s. Cameo Corporate Services Limited, "Subramanian Building", 1, Club House Road, Chennai - 600 002.
8. Members seeking any information with regard to Accounts are requested to write to the Company at an early date so as to enable the management to keep the information ready.
9. Members are requested to quote their folio number and name in all correspondence with the Company.

10. Corporate members intending to send their authorised representatives are requested to send a duly certified copy of the Board resolution authorizing their representatives to attend and vote at the Annual General Meeting.

ANNEXURE TO THE NOTICE

EXPLANATORY STATEMENT PURSUANT TO SECTION 173(2) OF THE COMPANIES ACT, 1956

Item No.4

The company has received a notice in writing from a member proposing the name of Mr. Dattatray Patil for appointment as a Director of the company liable to retire by rotation.

Hence the above resolution is recommended for the approval of the members.

None of the Directors of the Company are interested or concerned in the Resolution except Mr. Dattatray Patil

Place: CHENNAI
Date: 04-9 -2014

By Order of the Board
For KLK Electrical Ltd.
R. Ravikumar Rao
Wholetime Director

The instructions for shareholders voting electronically are as under:

- (I) The voting period begins on 24.9.2014 at 10 am and ends on 26.9.2014 at 6pm. During this period shareholders of the Company, holding shares either in physical form or in dematerialized form, as on the cut-off date (record date) of 29.8.2014, may cast their vote electronically. The e-voting module shall be disabled by CDSL for voting thereafter.
- (ii) The shareholders should log on to the e-voting website www.evotingindia.com.
- (iii) Click on Shareholders.
- (iv) Now Enter your User ID
 - a. For CDSL: 16 digits beneficiary ID,
 - b. For NSDL: 8 Character DP ID followed by 8 Digits Client ID,
 - c. Members holding shares in Physical Form should enter Folio Number registered with the Company.
- (v) Next enter the Image Verification as displayed and Click on Login.
- (vi) If you are holding shares in demat form and had logged on to www.evotingindia.com and voted on an earlier voting of any company, then your existing password is to be used.
- (vii) If you are a first time user follow the steps given below:

	For Members holding shares in Demat Form and Physical Form
PAN	Enter your 10 digit alpha-numeric *PAN issued by Income Tax Department (Applicable for both demat shareholders as well as physical shareholders) • Members who have not updated their PAN with the Company/Depository Participant are requested to use the first two letters of their name and the 8 digits of the sequence number in the PAN field.(Sequence number has been provided as Serial Number (SL NO.) in the Address Label • In case the sequence number is less than 8 digits enter the applicable number of 0's before the number after the first two characters of the name in CAPITAL letters. Eg. If your name is Ramesh Kumar with sequence number 1 then enter RA00000001 in the PAN field.
DOBE	Enter the Date of Birth as recorded in your demat account or in the company records for the said demat account or folio in dd/mm/yyyy format.
Dividend Bank Details	Enter the Dividend Bank Details as recorded in your demat account or in the company records for the said demat account or folio.
	• Please enter the DOB or Dividend Bank Details in order to login. If the details are not recorded with the depository or company please enter the member id / folio number in the Dividend Bank details field as mentioned in instruction (v).

(viii) After entering these details appropriately, click on “SUBMIT” tab.

(ix) Members holding shares in physical form will then directly reach the Company selection screen. However, members holding shares in demat form will now reach ‘Password Creation’ menu wherein they are required to mandatorily enter their login password in the new password field. Kindly note that this password is to be also used by the demat holders for voting for resolutions of any other company on which they are eligible to vote, provided that company opts for e-voting through CDSL platform. It is strongly recommended not to share your password with any other person and take utmost care to keep your password confidential.

- (x) For Members holding shares in physical form, the details can be used only for e-voting on the resolutions contained in this Notice.
- (xi) Click on the EVSN for the relevant <Company Name> on which you choose to vote.
- (xii) On the voting page, you will see “RESOLUTION DESCRIPTION” and against the same the option “YES/NO” for voting. Select the option YES or NO as desired. The option YES implies that you assent to the Resolution and option NO implies that you dissent to the Resolution.
- (xiii) Click on the “RESOLUTIONS FILE LINK” if you wish to view the entire Resolution details.
- (xiv) After selecting the resolution you have decided to vote on, click on “SUBMIT”. A confirmation box will be displayed. If you wish to confirm your vote, click on “OK”, else to change your vote, click on “CANCEL” and accordingly modify your vote.
- (xv) Once you “CONFIRM” your vote on the resolution, you will not be allowed to modify your vote.
- (xvi) You can also take out print of the voting done by you by clicking on “Click here to print” option on the Voting page.
- (xvii) If Demat account holder has forgotten the same password then Enter the User ID and the image verification code and click on Forgot Password & enter the details as prompted by the system.
- (xviii) Note for Non – Individual Shareholders and Custodians
 - Non-Individual shareholders (i.e. other than Individuals, HUF, NRI etc.) and Custodian are required to log on to www.evotingindia.com and register themselves as Corporates.
 - A scanned copy of the Registration Form bearing the stamp and sign of the entity should be emailed to helpdesk.evoting@cdslindia.com.

- After receiving the login details they have to create a compliance user should be created using the admin login and password. The Compliance user would be able to link the account(s) for which they wish to vote on.
 - The list of accounts should be mailed to helpdesk.evoting@cdslindia.com and on approval of the accounts they would be able to cast their vote.
 - A scanned copy of the Board Resolution and Power of Attorney (POA) which they have issued in favour of the Custodian, if any, should be uploaded in PDF format in the system for the scrutinizer to verify the same.
- (xix) In case you have any queries or issues regarding e-voting, you may refer the Frequently Asked Questions (“FAQs”) and e-voting manual available at www.evotingindia.com, under help section or write an email to helpdesk.evoting@cdslindia.com.

DIRECTORS REPORT

Dear Members,

Your Directors have great pleasure in presenting the 33rd Annual Report of the Company with audited accounts for the year ended 31st March, 2014.

FINANCIAL RESULTS:

Particulars	31-03-2014 (Rs.In Lakhs)	31-03-2013 (Rs.In Lakhs)
Sales	O	12
Other Income	Nil	Nil
Profit/(Loss)before Dep.& Tax	-3.87	-3.46
Depreciation	Nil	Nil
Profit/(Loss) after Depreciation	-3.87	-3.46
Provision for TaxationNil	Nil	Nil
Profit/(Loss) after Tax	-3.87	-3.46
Add: Balance of Loss B/f	-99.13	-95.67
(Loss) Balance C/F to next year	-102.99	-99.13

OPERATIONS:

The Company achieved turnover of Rs. NIL (Previous Year Rs. 12 Lakhs). The turnover declined due to lack of demand. The Board is evaluating different projects.

DEPOSITS:

The Company has not invited / received any fixed deposits during the year under review as per section 58A of the Companies Act, 1956 read with Companies (Acceptance of Deposits) Rules, 1975.

DIVIDEND:

Due to loss incurred during the year, your directors have not recommended any dividend for the financial year ended 31st March, 2014 to the members.

DIRECTORS:

Mr. Dattatray Patil director of the company retires by and rotation is eligible for reappointment as director of the company.

AUDITORS:

M/s. Chitta and Associates , Chartered Accountant, retire as Auditor of the Company at the conclusion of the ensuing Annual General Meeting and have expressed their inability to continue. Hence it is proposed that M/s. Anant Rao and Mallik be appointed as the auditors of the company until the next AGM

AUDITORS REPORT:

The observations made by the auditor in his report and notes to the accounts are self-explanatory.

LISTING STATUS:

The Company's Shares are listed both in Chennai and Bombay Stock Exchanges at present. Listing fees have been paid for the financial year.

CORPORATE GOVERNANCE:

Pursuant to the circular of Securities and Exchange Board of India, the Stock Exchanges have incorporated a Clause 49 in the Listing Agreement on Corporate Governance with regard to the composition of Board of Directors, Audit Committee, Remuneration of Directors, Board meeting procedures, Management, discussions and analysis about the business, Redressal of Shareholders' grievances and their services.

According to the schedule of implementation forwarded by these Stock Exchanges, the Companies whose paid-up capital is Rs.3 Crores and above is advised to comply with the Clause 49 of the Listing Agreement. Since the capital of your Company is less than Rs.3 Crores, compliance of the Clause 49 of the Listing Agreement does not arise.

INFORMATION UNDER SECTION 217(1)(E) OF THE COMPANIES ACT, 1956 READ WITH COMPANIES (DISCLOSURES OF PARTICULARS IN THE REPORT OF BOARD OF DIRECTORS) RULES AND FORMING PART OF DIRECTORS REPORT.

1). CONSERVATION OF ENERGY:

The company has no activity relating to Conservation of Energy, during the year.

2). TECHNOLOGY ABSORPTION:

The Company has entered into Technical collaboration with M/s. Elin Union, Austria.

3). FOREIGN EXCHANGE EARNINGS AND OUTGO:

The Company did not have any foreign exchange or outgo during the year.

DIRECTORS' RESPONSIBILITY STATEMENT:

In terms of provisions of Section 217(2AA) of the Companies Act, 1956 the Directors confirm.

1. That in the preparation of the Annual accounts, for the financial year ended 31st March, 2014 the applicable accounting standards had been followed along with proper explanations relating to material departures.
2. That the Directors had selected such accounting policies and applied them consistently and made judgements and estimates that are reasonable and prudent, so as to give a true and fair view of the state of affairs of the Company at the end of the financial year and of the profit of the Company for that period.

3. That the Directors had taken proper and sufficient care for the maintenance of adequate accounting records, in accordance with the provisions of the Companies Act, 1956 for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities; and
4. That the Directors had prepared the annual accounts on a going concern basis.

COMPLIANCE CERTIFICATE:

Compliance Certificate as required under provision to Sub-section (1) of Section 383A of Companies Act, 1956 has been obtained from the company secretary, M/s. Lakshmi Subramanian & associates, Chennai .

PERSONNEL:

Particulars of Employees pursuant to Section 217(2A) of the Companies Act, 1956 are not applicable since there was no person was employed in the company during the year who was in receipt of remuneration in excess of the limits specified herein during the period under review.

ACKNOWLEDGEMENTS:

Your Directors would like to express their appreciation for the assistance and continued co-operation extended by the Banks, Government Authorities and Clients during the period under review. Your Directors wish to place on record their deep sense of appreciation for the devotion and sense of commitment shown by the employees at all the level and acknowledge their contribution for its success.

KLK Electrical Limited
Old No.2, New No.3, 1st Main road
Seethammal Colony, Teynampet
Chennai-600018

For and on behalf of the Board
(R.Ravi Kumar Rao)
Wholetime Director

Place: **CHENNAI**
4.9.2014

INDEPENDENT AUDITOR'S REPORT

To

The Members of

KLK ELECTRICAL LIMITED

Report on the Financial Statements

We have audited the accompanying financial statements of ,("the company") which comprise the Balance Sheet as at 31't March'2014, and the Statement of Profit and Loss for the year then ended, and a summary of significant accounting policies and other explanatory information.

Management Responsibility for the Financial Statements

1. Management is responsible for the preparation of these financial statements that give a true and fair view of financial position, financial performance of the company in accordance with the accounting standards referred to in sub -section (3C) of section 211 of the Companies Act 1956 ("the Act") ; read with General Circular 812014 dated 4 April 2014, issued by the Ministry of Corporate Affairs: and The responsibility includes the design, implementation and maintenance of internal control relevant to the preparation and presentation of financial statements that give a time and fair view and are free from material misstatements, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with the standards on auditing issued by the Institute of Chartered Accountants of India. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from misstatements.

Audit involves performing procedure to obtain audit evidence about the amounts and disclosure in the financial statements. The procedure selected depend upon auditor's judgement, including the assessment of the risk of material misstatements of the financial statements, whether due to fraud or error. In making those risk assessment, the auditor considers internal control relevant to the Company's preparation and fair presentation of the financial statements in order to design audit procedure that are appropriate in the circumstances. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of financial statements.

We believe that audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion and to the best of our information and according to the explanations given to us, the financial statements give the information required by the Act in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India:

Annexure to the Auditors' Report

Annexure referred to in paragraph 3 of the Auditors' Report to the Members of M/s KLK Electrical Limited on the accounts for the year ended 31st March, 2014. On the basis of such checks as we considered appropriate and according to the information and explanation given to us during the course of our audit, we report that;

01. Fixed Assets

(a) The company has maintained proper records showing full particulars including quantitative details and situation of its fixed assets.

(b) As explained to us, fixed assets have been physically verified by the management at reasonable intervals: no material discrepancies were noticed on such verification.

(c) In our opinion and according to the information and explanations given to us, no fixed asset has been disposed during the year and therefore does not affect the going concern assumption.

02. Inventory

According to the information and explanations given to us and on the basis of our examination of the books of accounts, the Company does not have any inventories hence not applicable.

03. Loans Granted/taken

(a) According to the information and explanations given to us and on the basis of our examination of the books of account, the Company has not granted any loans, secured or unsecured, to companies, firms or other parties listed in the register maintained under Section 301 of Companies Act, 1956. Consequently, the provisions of clauses iii (b), iii(c) and iii(d) of the order are not applicable to the company.

(b) According to the information and explanations given to us and on the basis of our examination of the books of accounts, the Company has not taken loans from

companies, firms or other parties listed in the register maintained under Section 301 of the Companies Act, 1956, thus sub clauses 9(f) & (g) are not applicable to the company,

04. Internal Control System

In our opinion and according to the information and explanations given to us, there are adequate internal control procedures commensurate with the size of the company and the nature of its business with regard to purchases of inventory, fixed assets and with regard to the sale of goods and services, during the course of our audit, no major instance of continuing failure to correct any weaknesses in the internal controls has been noticed.

05. Related Party transactions

(a) In our opinion and according to the information and explanations provided by the management, we are of the opinion that the transactions that need to be entered into the register maintained under Section 301 have been so entered.

(b) In our opinion and according to the information and explanations given to us, there are no transactions made in pursuance of contracts or arrangements entered in the registers maintained under Section 301 and has been made at prices which are reasonable having regard to prevailing market prices at the relevant time.

06. Deposits:

The company has not accepted any deposits from the public within the meaning of Sections 58A and 58AA or any other provisions of the act and the rules framed there under.

07. Internal Audit

As per information & explanations given by the management, the company has an internal audit system commensurate with its size and the nature of its business.

08. Cost Records

According to the information and explanations given to us and on the basis of our examination of the books of accounts Maintenance of cost records not applicable to this company since the company not commenced production activities

O9. Statittont Dues

(a) According to the records of the company, undisputed statutory dues including provident Fund ,Investor Education and Protection Fund, Employees' State Insurance, Income-tax, Sales-tax, Wealth Tax. Service Tax, Custom Duty Excise Duty, cess to the extent applicable and any other statutory dues have generally been regularly deposited with the appropriate authorities, According to the information and explanations given to us there were no outstanding statutory duesason3l st of March,2O14 for a period of more than six months from the date they became payable.

(b) According to the information and explanations given to us, there is no amounts payable in respect of Income tax, wealth tax, service tax, sales tax, customs duty and excise duty which have not been deposited on account of any disputes.

10. Accumulation of Losses

The company have accumulated losses of Rs 99.12 lacs and has incurred cash losses during the financial year covered by our audit Rs. 3.87 lacs and Rs. 3.46 lacs in the immediately preceding financial year.

11. Dues to Financial Institutions

Based on our audit procedures and on the information and explanations given by the management, we are of the opinion that the company has not defaulted in repayment of dues to a financial institution, bank or debenture holders.

12. Security against Loans

According to the information and explanations given to us, the company has not granted loans and advances on the basis of security by way of pledge of shares, debentures and other securities.

13. Applicability of Special Status

The Company is not a chit fund or a nidhi / mutual benefit fund/society. Therefore the provisions of this clause of the Companies (Auditor's Report) Order, 2003(as amended is not applicable to the Company

14. Maintenance of Proper Records for Security Transactions

The company is not a dealer or trader in shares, securities, debentures and other investments.

15. Guarantees Given

According to the information and explanations given to us, The company has not given any guarantee for loans taken by others from bank or financial institutions.

16. Term Loans

Based on our audit procedures and on the information given by the management we report that the company has not raised any term loans during the year: hence utilization of funds does not arise.

17. Utilization of Short. term Funds

Based on information and explanations given to us and on an overall examination of the Balance Sheet of the company as at 31st March, 2014, we report that no funds raised on short-term basis have been used for long-term investment by the company

18. Preferential Allotment

We are informed that the company has not made any preferential allotment of shares to parties and companies covered in the register maintained under section 301 of the Companies Act, 1956.

19. Security / Charges for Debentures

The company has not issued debentures and hence requirement of reporting regarding creation of security in respect of debentures issued does not arise.

20. Frauds

Based upon the audit procedures performed and as per information and explanations given by the management, we report that no fraud on or by the company has been noticed or reported during the year.

Date : 15/05/2014
Place : CHENNAI

Chitta Nageswara Sastry
Proprietor

For Chitta & Associates
Chartered Accountants
FRN:0094905

- (a) in case of the Balance Sheet, of the state of affairs of the Company as at 31st March'2014;
- (b) in case Statement of Profit and Loss Account, of the for the year ended on that date; and
- (c) in case of the Cash Flow Statements, of the cash flows for the year ended on that date

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order,2003("the order") issued by Central Government of India in terms of sub-section (4A) of section 227 of the Act, We give in the Annexure a statements on the matters specified in paragraphs 4 and 5 of the order.
2. As required by section 227(3) of the Act, we report that:
 - a. We have obtained all information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit;
 - b. In our opinion proper books of account as required by I-arv have been kept by the Company so far as appears from our examinations of those books;
 - c. the Balance Sheet, Statement of Profit and Loss, and Cash Flow statement dealt with by this Report are in agreement with the books of account;
 - d. In our opinion , the Balance Sheet, Statement of Profit and Loss, comply with the Accounting Standards referred to in sub-section(3C) of section 211 of the Companies Act,1956; read with General Circular 8/2014 dated 4 April2014,issued by the Ministry of Corporate Affairs: and
 - e. On the basis of written representations received from the directors as on March,31,2014 and taken on record by the Board of Directors, none of the director is disqualified as on , from being appointed as a director in terms of clause (g) of sub section (1) of section 274 of the Companies Act, 1956.

Date : 15/05/2014
Place : CHENNAI

For Chitta & Associates
Chartered Accountants
FRN:009490S

Chitta Nageswara Sastry
Proprietor
M.No.210531

KLK Electrical Limited**KLK ELECTRICAL LIMITED**

Old No. 2, New No.3, Seethammal Colony Extension, 1st Main Road, Teynampet, Chennai-600 018

BALANCE SHEET AS AT MARCH 31, 2014

SOURCES OF FUNDS	Schedule No.	Year ended 31.03.2014 Rs.	Year ended 31.03.2013 Rs.
SHAREHOLDERS' FUNDS			
Share Capital	1	26,500,000	26,500,000
Reserves & Surplus	2	(3,286,409)	(2,899,409)
		23,213,591	23,600,591
Current Liabilities			
Short term borrowings		-	-
Trade payables		-	-
Other Current liabilities	3	344,777	334,090
TOTAL		23,558,368	23,934,681
NON CURRENT ASSETS			
FIXED ASSETS			
Intangible Assets	4	5562573	5562573
Investments	5	9000001	9400001
CURRENT ASSETS			
Trade Receivables	6	8,680,007	8,948,007
Cash on Hand & at Banks	7	315787	24100
TOTAL		23558368	23934681

Chitta & Associates**Chartered Accountants**

FRN:0094905

Chitta Nageswara Sastry

Proprietor, Mem.No.210531

Place : Chennai

Date : 15.5.2014

for and on behalf of the Board of Directors

R.Ravikumar Rao

Wholetime Director

Rajendra Naniwadekar

Director

KLK Electrical Limited**KLK ELECTRICAL LIMITED**

Old No. 2, New No.3, Seethammal Colony Extension, 1st Main Road, Teynampet, Chennai-600 018

PROFIT AND LOSS ACCOUNT FOR THE PERIOD ENDED MARCH 31, 2014

PARTICULARS	Schedule No.	Year ended 31.03.2014 Rs.	Year ended 31.03.2013 Rs.
INCOME			
Revenue from Operations	8	-	1,200,000
Total		-	1,200,000
EXPENDITURE			
Employee Cost	9	120,000	792,250
Administrative Expenses	10	267,000	754,150
Depreciation		-	-
Total		387,000	1,546,400
Net Profit/(Loss) for the year		(387,000)	(346,400)
Less: Provision for Current Taxation/ FBT		-	-
Net Profit/(Loss) After Tax		(387,000)	(346,400)
Earnings Per share - Basic		(0.15)	(0.13)

Chitta & Associates**Chartered Accountants**

FRN:0094905

Chitta Nageswara Sastry

Proprietor, Mem.No.210531

Place : Chennai

Date : 15.5.2014

for and on behalf of the Board of Directors

R.Ravikumar Rao

Wholetime Director

Rajendra Naniwadekar

Director

KLK Electrical Limited

KLK ELECTRICAL LIMITED
CASH FLOW STATEMENT FOR THE YEAR ENDED MARCH 31, 2014

	For the Year ended 31.03.2014		For the Year ended 31.03.2013	
	₹	₹	₹	₹
A. CASH FLOW FROM OPERATING ACTIVITIES				
Net Profit/(Loss) before Tax		(387000)	(3,46,400)	
Adjustments for:				
Add: Depreciation	Nil	Nil	Nil	
Non - Cash Expenses	Nil			
Operating Profit before working capital changes		(387000)	(3,46,400)	
Adjusted for				
Inventories (increase)	Nil		Nil	
Sundry Debtors	268000		(10,23,991)	
Loans & Advances (decrease)	0		5,00,000	
Other Current Assets (increase)	0		nil	
Current Liabilities and Provisions	10687		(2,04,000)	
		278687	(7,27,991)	
Cash generated from operations-A		(108313)		(10,74,391)
B. CASH FLOW FROM INVESTING ACTIVITIES				
Purchase/(Sale) of Fixed Assets	Nil		nil	
Long Term Investments	400000		(10,00,000)	
Interest Income	Nil	400000	nil	
Net cash from investing activities- B		400000		(10,00,000)
C. CASH FLOW FROM FINANCING ACTIVITIES				
Receipt from issue of Equity Shares	Nil		Nil	
Repayment of Long Term Borrowing	Nil		Nil	
Repayment of Short term Borrowing	Nil	Nil	(15,000)	
Net cash flow from financing activities-C		Nil		(15,000)
Net increase/ decrease in cash and cash equivalents(A+B+C)		291687		(20,89,391)
Opening Balance of Cash and cash equivalent	24100		(21,13,491)	
Closing Balance of cash and cash equivalents				
	315787		24,100	
NET (INCREASE/DECREASE IN CASH & cash Equivalents CASH EQUIVALENTS		(291687)		2089391

Notes: 1. The above statement has been prepared in indirect method
2. Cash and cash equivalents represent cash and bank balances.

As per our report of even date
For Chitta & Associates
Chartered Accountants
FRN : 009490S

For and on behalf of the Board of Directors of
KLK Electricals Limited

Chitta Nageswar Sastry
Proprietor
M.No.210531
Place: CHENNAI
Date:15/05/2014

R.Ravikumar Rao
Wholtime Director

Rajendra Naniwadekar
Director

**ADDITIONAL INFORMATION DISCLOSED AS PER PART II OF THE
COMPANIES ACT 1956**

Particulars	31.3.2014	31.3.2013
1. Adjustment to the carrying amount of investments	NIL	NIL
2. Net gain /loss on foreign currency transactions (other than considered as finance cost)	NIL	NIL
3. Value of imports calculated on CIF basis by the Company during the financial year	NIL	NIL
4. Expenditure in foreign currency	NIL	NIL
5. The amount remitted during the year in foreign currencies on account of dividends	NIL	NIL
6. Earnings in foreign exchange	NIL	NIL

NOTES FORMING PART OF THE ACCOUNTS FOR THE YEAR ENDED 31.3.2014**1. SIGNIFICANT ACCOUNTING POLICIES****a. Accounting Concepts**

The Company follows mercantile system of accounting and recognizes income and expenses on accrual basis. Accounting policies not specifically referred to are consistent with Generally Accepted Accounting principles as applicable followed in India.

b. Revenue Recognition

All expenses and income are accounted for on mercantile basis except accounting of relief, incentives and concessions, which are accounted for as and when the amounts finally receivable against these are ascertained.

c. Fixed Assets

Fixed Assets are stated at cost including taxes, freight and other incidental expenses incurred in relation to acquisition and installation of the same.

d. Depreciation

the company does not have any tangible fixed assets,

e. Investments

Long term Investments are stated at cost. Decline in value of long term investments, other than temporary is provided for.

f. Inventories

the company does not have any inventories hence the question of valuation does not arise

g. Retirement Benefits

As there were no employees in the Company at the year end, no provision for gratuity/ PF has been made in the books of account.

h. Foreign Exchanges Transactions

There are no foreign exchange transactions.

i. Leases

There are no lease transactions entered into by the company so far.

j. Taxation

Provision for current tax, if any, is made in accordance with the provisions of Income Tax Act 1961. Current Tax is determined as the amount of tax payable in respect of taxable income for the period.

Deffered tax is recognised, subject to prudence, if timing differences, being the difference between taxable income and accounting income that originate in one period and are capable of reversal in one or more periods.

Deffered tax is recognised, subject to prudence, if timing differences, being the

5. The company has not obtained confirmations of balances from the debtors ,the management of the company informed that all receivable will be relaised in dure course, other wise legal actions will be taken and written of the doubtful debts in the following year
6. Disclosure under Micro, Small and Medium Enterprises Development Act, 2006 Under the Micro, Small & Medium Enterprises Development Act, 2006 (MS & MED) which came into force from October 02, 2006, certain disclosures are required to be made relating to Micro, Small & Medium Enterprises (MS&MED). On the basis of the information and records available with the Company, there are no amounts due to Micro and Small Enterprises as on 31.03.2014

7. Other Accounting Standards

Related Party Transactions: There are no related party transactions during the year.

LIST OF RELATED PARTIES

Related parties with whom transactions have taken place during the year
Key Management Personnel / Individual Relatives

No transactions were carried out with any related parties during the year.

8. **Segment Reporting:** As there was no activity in the Company other than providing computer software sales, there were no items to be reported under segment reporting.
9. **Deferred tax:** In the opinion of the company there is only deferred tax asset, consists of depreciation allowance and the company is not sure of getting the benefit of the same in future and hence the same not recognized.

As per our report of even date
For Chitta & Associates
Chartered Accountants
FRN : 009490S

For and on behalf of the Board of Directors of
KLK Electricals Limited

Chitta Nageswar Sastry
Proprietor
M.No.210531
Pface: CHENNAI
Date:15/05/2014

R.Ravikumar Rao
Wholesale Director

Rajendra Naniwadekar
Director

k. Intangible Assets

Intangible assets in the form of technical know how and drawings are acquired from foreign collaborator and held for manufacture of new products. The cost of the same would be-written off uniformly over a period of six years commencing from the year in which the new products using the technical know how are manufactured.

l. Earning Per Share

The Company reports basic and diluted earnings per share in accordance with the Accounting Standard 20.

m. Contingencies

All liabilities have been provided for in the accounts except liabilities of a contingent nature, which have been disclosed at their estimated value in the Notes on accounts.

OTHER NOTES ON ACCOUNTS

1. Earnings per share:

	31.3.2014	31.3.2013
Net Profit(Loss) aftertax (Rs.)	(387000)	(3,46,400)
Weighted Average no. of Shares		
outstanding (Nos).	2650000	2650000
Face value per equity share (Rs.)	10.00	10-00
Loss per share both basic/diluted	0.15	0.13

2. Quantitative Information: As the company has been carrying providing training courses which can not be quantified in any measurable units and hence the quantitative information of the products dealt with by the company is not provided herein.

3. As there were no eligible employees in the company during the year, no provision for retirement . cum death gratuity is made

4. Previous year figures have been regrouped/restated wherever necessary to conform to the current year representation.

KLK Electrical Limited

KLK ELECTRICAL LIMITED

Old No. 2, New No.3, Seethammal Colony Extension,
1st Main Road, Teynampet, Chennai-600 018

Nofes to Balance Sheet as at 31.3.2014	As at 31.03.2014 Rs.	As at 31.03.2013 Rs.
(a) Authorised Capital 5,000,000 Equity Shares of Rs.10/- each	50,000,000	50,000,000
(b) Issued and Subscribed Capital 2,650,000 Equity Shares of Rs.10/- each fully paid-up for cash at par	26,500,000	26,500,000
(c) Paid up Share Capital 26,50,000 Equity shares of Rs.10/- each	26,500,000	26,500,000
1 (B) Reconciliation of number of equity shares outstanding at the beginning and at the end of the year.		
Number of shares outstanding at the beginning of the year	26,50,000	26,50,000
Number of shares outstanding at the end of the year	26,50,000	26,50,000

KLK Electrical Limited

	As at 31.03.2014 Rs.	As at 31.03.2013 Rs.
2. RESERVES & SURPLUS		
(a) Capital Reserves	13,500	13,500
(b) Share Premium Reserve	7,000,000	7,000,000
	7,013,500	7,013,500
(c) General Reserves		
Opening Balance	-	-
Closing Balance	-	-
(d) Surplus Balance of loss brought forward	(9912909)	(9,566,509)
Add: Loss for the period	(3,87,000)	(346,400)
Loss carried forward	(10299909)	(9,912,909)
Total	(32,86,409)	(2,899,409)

3. OTHER CURRENT LIABILITIES

Creditors for Expenses	344777	334,090
Total	344777	334,090

4. FIXED ASSTS - INTANGIBLES

Particulars of Assets	Gross Block			Depreciation			Net Block	
	As at 01/04/13	Additions	As at 31.3.2014	Upto 31.3.2013	For the year	Upto 31.3.2013	As at 31.3.2014	As at 31.3.2013
Technical knowhow fees	5562573	0	5562573	0	0		5562573	5562573
Total	5562573	0	5562573	0	0	0	05562573	5562573

5. NON CURRENT INVESTMENT

	As at 31.03.2014	As at 31.03.2013
Investments at cost share application	Rs.	Rs.
money paid to companies	90,00,001	94,00,001
Total	90,00,001	94,00,001

6. TRADE RECEIVABLES

(a) Outstanding for a period exceeding six months
from the date they are due for payment

(1) Secured , considered good	NIL	NIL
(2) Unsecured, considered good	NIL	NIL
(3) Doubtful	NIL	NIL
Total (A)	NIL	NIL

(b) Others

(1) Secured , considered good	NIL	NIL
(2) Unsecured, considered good	86,80,007	8,948,007
Total (b)	86,80,007	8,948,007
Total	8,680,007	8,948,007

7. CASH AND CASH EQUIVALENTS

	As at 31.3.2014	As at 31.3.2013
(A) Balances with Banks	Rs.	R.s
(1) Current Account	315,287	15,520
(B) Cheques, Drafts in hand	NIL	NIL
(C) Cash on hand	500	8,580
Total	315,787	24,100

8. REVENUE FROM OPERATIONS

Software development Income	-	1,200,000
Total	-	1,200,000

KLK Electrical Limited

9. EMPLOYEE BENEFIT EXPENSES	As at 31.03.2014 Rs.	As at 31.03.2013 Rs.
Salaries and Wages	120,000	292,250
Contribution to PF, ESI and other funds	-	-
Director's Remuneration	-	500,000
Sitting Fees for Directors	-	-
Staff Welfare Expenses	-	-
Total	120,000	792,250
10. ADMINSTRATIVE EXPENSES		
Rent	30,000	30,000
Legal & Consultancy Charges	118,300	327,930
including listing/depository/registrar fees		
Travelling & Conveyance Expenses	8,046	65,150
Postage & Telephone Charges	26,500	26,100
Advertisement Charges	23,564	11,550
Printing & Stationery	22,500	21,330
Office Maintenance	10,000	10,000
Auditor's Remuneration for Statutory Audit	28,090	28,090
Other expenses	NIL	234,000
Total	267,000	754,150

Chitta & Associates

Chartered Accountants

FRN:009490S

Chitta Nageswara Sastry

Proprietor, Mem.No.210531

Place : Chennai

Date : 15.5.2014

for and on behalf of the Board of Directors

R.Ravikumar Rao

Wholetime Director

Rajendra Naniwadekar

Director

KLK Electrical Limited

KLK ELECTRICAL LIMITED

Old No,2,New NO.3, 1St Main Road Seethammal Colony, Teynampet, Chennai-600 018

ATTENDANCE SLIP FOR THIRTYTHIRD ANNUAL GENERAL MEETING

Please fill in this attendance slip and hand it over at the entrance of the meeting hall, Joint shareholders may obtain additional attendance slip on request.

Name And Address Of The Share Holder :

Master Folio No. :

No. of Shares held :

I hereby record my presence at the Thirty Third Annual General Meeting of the Company held on the 30th September 2014 at 11.A.M. at Old No.164. New No. 510,TTK Road, Alwarpet Chennai-600 018

Signature Of The Shareholder Or Proxy

.....

PROXY

KLK ELECTRICAL LIMITED

Old No,2,New NO.3, 1St Main Road Seethammal Colony, Teynampet, Chennai-600 018

Master Folio No.

I We being a member of KLK ELECTRICAL LIMITED hereby appoint Of or failing him of As my/our proxy to vote for me/us and on my/our behalf at the thirty third Annual General Meeting of the Company to be held on 30th September 2014 at 11 A. M. at Old No.164,New No.510 TTK Raod,Alwarpet Chennai-600 018

Signed day of 2014

Note: The proxy must be returned so as to reach the Registered Office of the Company not less than 48 hours the time for holding the aforesaid meeting. The proxy need not be a member of the Company.

Affix a 1
Rupee
Revenue
Stamp

Book - Post
PRINTED MATTER

If undelivered Please Return to :

KLK ELECTRICAL LIMITED

Old No.164, New No. 510, TTK Road, Alwarpet
CHENNAI, 600018.

Ph :

Cell :